Earned Income	Number	Page
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Revision Date:
07/01/2022

Background:
Federal law requires earned income to be included in the eligibility determination for CalFresh.

Purpose:
This section defines earned income which must be included in the budget calculation. The section is being revised to merge information regarding military pay.

Policy:
Earned income is any monetary compensation received for the performance of work. Earned income shall include but is not limited to:

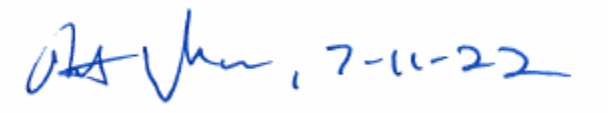
Type	Information
Diverted Wages	Wages earned by a household (HH) member that are garnished or diverted by an employer and paid to a third party for a HH's expenses such as rent.
Federal and State Work Study Income	Any remaining amount of federal and state work study which has not been excluded per Section 63-224.
In Home Supportive Services (IHSS)	IHSS wages, even if the services are being provided to a HH member.
Military Pay	Military personnel are paid semi-monthly; however, they only receive one check stub each month which shows the total gross and net income for the entire month. Military pay includes special allowances showing in the "Entitlement" (ENT) section of the "Leave and Earnings Statement" (LES). Special allowances include but are not limited to the following: • Basic Allowance for Housing (BAH) • Basic Allowance for Subsistence (BAS) • Family Separation Allowance (FSA) • Variable Housing Allowance (VHA) Refer to Section 63-224 for a list of excluded military special allowance and to Desk Aid Military Pay LES for more info.
Pay Advances	Advances on wages, when reasonably anticipated, will be counted in the month received.
Salaries	Monetary compensation quoted to and paid to an employee on an annual basis.
Self-Employment	Refer to Section 63-225 for more information.
Severance Payments	Reoccurring severance payments received. Refer to Section 63-224 for treatment of lump sum payments.
Striker's benefits	Any portion of striker's benefits received as compensation for picketing.
Title I Volunteers in Service to America (VISTA) Program Stipends	An AmeriCorps VISTA stipend received by an applicant must be counted. Refer to Section 63-224 for the treatment of VISTA stipends when a CalFresh recipient joins the VISTA program while on aid.

Training Allowances	Training allowances from vocational and rehabilitation programs recognized by federal, state, or local governments, to the extent they are not a reimbursement.
Wages	Monetary compensation paid to an employee based on the number of hours worked.
Wages Held by an Employer	Wages held at the request of the employee in the month the wages would have been paid by the employer. Refer to Section 63-224 for treatment of wages involuntarily held by the employer.
Wages or Salary Paid to the Owner of a Closely Held Corporation	An owner/shareholder who works and receives a salary or wages from the corporation is not a self-employed individual; he or she is an employee.
Workforce Investment Act (WIA) On-the-Job-Training Earnings	Earnings of individuals who are participating in on-the-job training programs under Section 204(b)(1)(C) or Section 264(c)(1)(A) of the WIA, or under Title I of the National and Community Services Act (NCSA) of 1990, except as specified in Section 63-224. NCSA includes but is not limited to the following programs: Serve America, American Conservation and Youth Corps, and National and Community Service subtitles.

References:
CFR 273.9(b)(1), MPP 63-502, ACIN I-79-03, I-79-03 EII, I-84-09(e), I-34-17.

Sunset Date:
This policy will be reviewed for continuance on or by 07/31/2025

Approval for Release:



Rick Wanne, Director
Self Sufficiency Services